I BLOW THE WHISTLE

A GUIDE TO WHISTLEBLOWING



Re-enabling Ethical Practice in the Workplace

Whistleblowing is the practice of reporting information about an organization to protect the safety and security of others. Typically driven by ethical issues, or even illegal practice, just a few legitimate whistleblowing incidents can cost companies millions.

I Blow the Whistle is a secure platform to blow the whistle anonymously. We enable employees to easily submit an anonymous report that is encrypted and anonymized to preserve identities. By alleviating the risk of backlash, we empower our clients to do the right thing and reduce risk.
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The corporate whistleblower and what they do for everyone

A lot of corporate, business, and organizational misgivings get swept under the rug. For a cutthroat corporate world where returning a profit takes precedence over pretty much everything else, it's easy to rationalize a few ills as being necessary to pursue a given goal. However, the problem is that a few ills almost-always ferment to more ills and eventual erosion of the interest of organizations and their stakeholders. In the early 2000s, energy corporation Enron's first ill was taking up multiple investment positions and risks without fair assessment and due diligence. To cover up its track, Enron started using market-to-market (MTM) accounting to hide massive losses incurred by the company. A couple of years later, following multiple indictments, Enron was suspended from the New York Stock exchange (NYSE) after filing for Chapter 11 bankruptcy.

One stitch in time can save 9 (million jobs; billion dollars…)

Issues within organizations can and do happen. What determines how such problems reflect on the organization is how it is detected and managed over time. If company executives had detected that Enron was overshooting its investment plays and then gone on to strategize and recalibrate its operations, it's possible that the company wouldn't have ended the way it did.

Top 5 reasons for concern in the Pharmaceutical Industry



Since prompt detection and effective management are directly correlated to the long-term health of a company, it makes sense to advocate for the latter two in any organizational framework. Indeed, many fully-fledged global businesses float one or another kind of an internal reporting/auditing framework. To understand why these frameworks don't function exactly as intended – in detecting problems and kickstarting resolutions – one must consider the dynamics of the 21st-century workplace environment.

Vested interests

Within the corporate and business ecosphere, the problem is not so much that corporate malfeasance goes on undetected as it is the fact that some entities actively campaign to bury the evidence. These entities act in furtherance of what they perceive to be their best interest (and in some cases, their companies' best interest). Experience, however, shows that corporate

malpractice of any sort doesn't produce too many victors – perpetrators get burnt, or their companies bear the brunt, or both. History is littered full of examples of corporate scheming and the undesirable results that often follow.

Consider Theranos, for example. In late 2015, following a highly publicized launch, startup Theranos was valued at about $9 billion with the potential for even higher valuations given its growth trajectory leading up to that point. However, the company lacked the structural mettle and technical proficiency to piggy-back many of its bodacious claims. The same claims that had influenced investor assessment of its worth.

Rather than accept its shortcomings and possibly double back on its claims, Theranos's management, captained by Elizabeth Holmes, embarked on what's perhaps the most blatantly boldfaced cover-up witnessed in Silicon Valley. Three years later, after multiple lawsuits and SEC investigations, Theranos's management pulled the plug, dissolving the company late in 2018. For her troubles, Holmes and alleged co-conspirator Sunny Balwani were slammed with criminal charges and an SEC indictment. Holmes settled the SEC charges out of court for $500,000.

Theranos's spectacular failure, asides from showcasing bad actors' inherent tendency to cover-up 'bad steps,' emphasizes the importance of a failsafe mechanism to checkmate internal malpractices. If a working stopgap exists to catch internal malpractice, the consequences of such malpractices are statistically less severe. That's because they're captured and resolved early enough to prevent excessive damage.

Who bells the cat?

For redundancy and to buffer often-inefficient internal auditing setups, organizations turn to external players to provide this failsafe stopgap. Many have boards that supervise corporate operations. Some go further to hire external auditing firms to perform periodic assessments of organizational/operational health. As the case with the internal audit process, however, there are limitations.

External players deal with second-hand information – information passed on from internal players who can 'prune' it to obscure critical details. So essentially, we're back to the first problem; bad actors can work to block implicative material from ever surfacing, especially if they know who is searching and where they're performing their search. This is especially true for fraud-related events in corporate settings. In its 2008 Report to the Nation on Occupational Fraud and Abuse, one major finding by the Association of Certified Fraud Examiners was that most fraud cases in the corporate environment were executed with a deliberate intention to conceal the crime. Fraud had the inherent characteristic of being 'hidden or clandestine.' While external forces do play their part, insider information from individuals was critical to successful fraud detection, the organization said.

Insiders are more effective because they're privy to pure, unfiltered information since they often partake in the fabrication and manipulation of such information in the first instance. This higher effectiveness of insider information in fraud detection is well documented. Per an analysis by the ACFE, individuals with insider information were responsible for uncovering 46% of all fraud cases, compared to a measly 3.2% discovered by audits or regulatory vigilance.

When an insider or someone with privileged insider information steps forward with details that uncover previously hidden malpractice, the process is known as whistleblowing.

The whistleblower a description

The All Parliamentary Group for Whistleblowing defines a whistleblower as an individual who bares to the public information or activity that qualifies as unethical, illegal, or contrary to an organization's corporate ethos. This concept of 'leaking' information surrounding inappropriate conduct in the workplace setting by individuals – that is, extra-supervisory, extra-regulatory entities – is not new. In fact, as an act, it's almost as old as the corporate world itself.

Whistleblowing in the workplace



Source: Ethics Resource Centre. 2014

What has changed in the last few decades is the number of whistleblower events and the impact these events have had on the industry. According to data retrieved from the US Government Department of Labor database, officially reported whistleblower events totalled well over 19,492 for the period between 2015 and 2020. In 2018 alone, the US Department of Justice received $2.8 billion as restitution from whistleblower suits.

As of the last count in 2019, it also reported a net $62 billion inflow from whistleblower related lawsuits that have since exploded following the institution of the civil False Claims Act by the US Congress. The civil False Claims Act is an important law that aids in identifying and penalizing fraud in America.

It is true for corporate America that this upward trend in whistleblower activity is largely correlated to the relative ease of blowing the whistle and the benefits whistleblowers accrue from successful whistleblowing lawsuits. Since 1986, when the False Claims Act was remodeled, whistleblowers have received more than $4 billion as payouts from the US government. One whistleblower received as much as $104 million from the IRS in the largest payout recorded in a single whistleblower event.

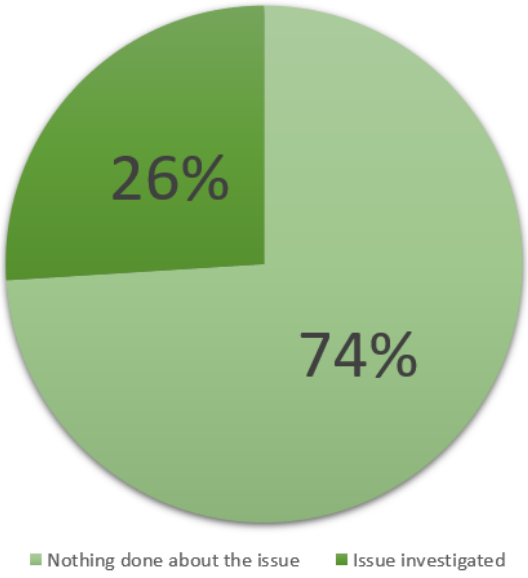
In the UK and much of Europe, at large, whistleblower activity is not as prominent, at least when compared to the US. Part of this is down to the dearth of pillar legislation, like the civil False Claim Acts in the US, with the momentum to propel corporate malfeasance identification and prosecution. Another factor, which also

applies to the US and much of the world in general, is the lack of sufficient protection for whistleblowers in corporate settings.

Blowing your cover – the risks

Whistleblowing comes with attendant risks, and until very recently, there was little regulatory cover to address these risks. In many areas of the EU, individuals who come out with potentially damning information about corporate malpractice are met with brute retaliation. Only in 2018 did the EU take defined steps to curb the mass effect of what's now pretty much whistleblower silencing. That's despite the glaringly obvious illegality of targeted anti-whistleblower activities perpetrated over the years.

How Ethical concerns are handled



Consider the case of Herve Falciani, for instance. Falciani worked as a systems engineer for the Swiss subsidiary of British banking firm HSBC. In 2008 while collaborating with Christine Lagarde, ex-French Minister and current President of the European Central Bank, Falciani exposed a deliberate tax evasion system run by the Private bank. This system allegedly helped some 130,000 individuals from countries around the globe evade tax. Lagarde and the French government forwarded the details of implicated individuals to their respective home countries.

The Swiss, however, did not take kindly to Falciani's action. There have been multiple attempts to extradite him to Switzerland, and in 2014, Falciani was indicted in absentia for charges relating to the violation of the nation's industrial espionage and bank secrecy laws.

Cases like this, of brazen retaliation against whistleblowers, and the non-existent resistance to such retaliatory events set the tone for a silent corporate world. It highlights an even more pressing issue; despite the upsurge in the number of general pro-whistleblower legislation, whistleblowers' risks are still very real on a micro-level.

Kyle Welch, assistant professor at the George Washington University School of Business, explains why this is the case.

> "The protection afforded to whistleblowers varies country by country. In some countries, protections are starting to move in the other direction, and they are starting to have more safeguards for the person being identified in a whistleblowing case rather than the person giving a report."

The overarching theme is that while there's a rise in the number of conscious efforts to backup whistleblowers, these efforts appear to be insufficient. Whistleblowers are still subject to attacks that are not just restricted to judicial actions or corporate sanctions. In an interview with EuropeanCEO, Transparency International's Whistleblowing program officer, Thomas Vink, emphasizes just how insufficient the cover for whistleblowers are.

> “Coming forward with cases of corporate malfeasance is a perilous endeavor; there's a very notable lack of legal protection."

Vink adds that there's a discrepancy, discontinuity, and a general lack of homogeneity with extant whistleblower laws across the European bloc.

> "Around the world, only 34 governments have enacted national whistleblower protection laws. Only 10 EU countries have comprehensive legislation in place – France, Hungary, Ireland, Italy, Lithuania, Malta, the Netherlands, Sweden, Slovakia, and the UK – and even in those countries, enforcement is often inadequate. To date, there are no whistleblowing laws that are fully aligned with the 30 Transparency International principles for effective whistleblower protection legislation."

For a corporate practice with so many positives – for practically all stakeholder segments in the industry – and very few negatives, if any, one would expect robust policy enactments to sustain the cause. Why is there so much neglect for whistleblowers even when historical evidence shows that their actions are positioned for the greater good?

Acting in your best interest

One misconception surrounding whistleblowing is the belief that it leaves affected organizations in a worse off state. Again, historical, and statistical evidence shows that this is rarely the case. In one analysis conducted in collaboration with Stephen Stubben (associate professor at the University of Utah), Kyle Welch demonstrates that companies with a higher frequency of whistleblowing activity performed better in terms of organizational health over time.

> "Our research shows all firms have problems, and the difference is firms that encourage whistleblowing and internal feedback are the organizations that have fewer issues and concerns going forward."

Welch and Stubben utilized data collated by top incident management firm NAVEX Global.

It's not difficult to see why this is the case. Firms that encourage whistleblowing invariably facilitate faster issue detection and, like was noted earlier, better incidence management. Aside from sustaining an organization's long-term health, a pro-whistleblowing organizational culture also creates a positive feedback loop that encourages even more whistleblower events. The culmination of all this is increased

transparency, improved performance, and a healthier corporate environment that only gets better over time. Welch likens the situation between pro-whistleblower organizations and whistleblowers to that of nurturing parents and their children.

> "Parents [who] have a relationship where their children feel comfortable sharing their problems are able to deal with them. If those problems aren't being shared, it doesn't mean they don't exist." He said.

But not all whistleblowing constructively promotes organizational growth. Theranos's descent to insolvency was sparked by whistleblower reportage courtesy of WSJ reporter John Carreyrou. Similarly, Oxfam, a charity company involved in providing relief and support for vulnerable groups, only recorded a net 4.4-million-pound shrinkage in its income after news surfaced that its employees had sexually exploited refugees in their Haiti Earthquake rescue efforts. On a broader scale, this event also altered public perception of charity workers and charity work as a whole.

There's a key point to note, however, with these cases where whistleblower activity sparked negative returns, and it's that whistleblowers were ignored or outrightly silenced when they first attempted to make their case. In essence, the organizational culture of companies negatively affected by whistleblowing was almost-always fundamentally anti-whistleblowing. Describing the run of events that eventually led to his coming out in the HSBC tax evasion scandal, Herve Falciani notes that he attempted to resolve the issues internally, first by raising the problem to his superiors and then by approaching Swiss authorities. Both attempts were turned down, forcing him to turn the way of the international financial community. Statistics show that this culture of ignoring or silencing whistleblowers is reasonably widespread in the corporate world, with over 60% of whistleblower claims attracting no attention, according to a 2013 survey.

To summarize, ignoring whistleblowers can pan out to be costly both in the short and long-term but more especially in the latter. If HSBC's management had addressed the issues laid bare by Falciani in the first instance, perhaps it won't today hold a page in the record books for orchestrating what many consider to be one of the most damning cases of banking fraud and money laundering in history.

Promoting whistleblowing

Given the scarcity of robust laws protecting whistleblowers and the many risks involved in the process, institutions must act of their own accord to provide a structural framework that promotes whistleblowing if they're ever going to tap into its self-preserving and performance-boosting benefits. This is where the concept of value-sensitive design comes into the mix.

For most of history, Whistleblower protection has always been about creating laws and enacting policies that were more reactive than they are proactive. The European Commission's whistleblower laws, for instance, focuses mostly on the protection and rights of whistleblower's after the whistleblower event. Its provisions protect whistleblower's by giving them 'protected' status, one that abhors companies from 'attacking' or taking direct retaliatory actions against whistleblowers. In this context, retaliatory actions cover anything from demotion to employment termination meted out to whistleblowers after the event. It fails to consider the subtle, often underhand, and hard-to-detect actions that might occur after their whistleblowing event.

There's a tendency for whistleblowers to be victimized, subdued, or outright ostracized following a whistleblowing event. When Tyler Shultz, one of the employees at Theranos who cooperated with WSJ reporters in their coverage of the company's malpractices, first approached higher-ups, the response was

brash and scathing. Shultz raised concerns about the authenticity of Theranos's testing and quality control checks in emails directed to then CEO Elizabeth Holmes. In its reply, Theranos berated Shultz questioning his understanding of mathematics and laboratory science before proceeding to instigate what would pan out to be an extended rift in the young whistleblower's family. Shultz's grandfather, George Schultz, was the Office of Management and Budget director and secretary of state for President Ronald Reagan. He was also a member of Theranos's board of directors.

A value-sensitive design considers first the humanistic aspect of things. It orientates both structural and functional solutions to account for this humane perspective. So rather than formulating pro-whistleblower policies that address the situation through the traditional and often didactic means, a value-sensitive design adopts an approach that is sensitive to the human values of all parties involved in a whistleblower event. Of course, with an emphasis on the whistleblower.

In practice, a pro-whistleblower framework that is value-sensitive doesn't just account for the protection of the legal and civil rights of a whistleblower; it goes further to protect the personal interests of whistleblowers by considering how such whistleblower events affect their quality of life, interpersonal relationships, and overall emotional and psychological health. Furthermore, it proscribes methods to address these concerns. This approach is critical because, more often than not, whistleblowers bear the brunt of attacks that extend past civil and criminal lawsuits, a fact that is demonstrated in the Tyler Schulz – Theranos saga. Aside from losing his job and burning through well over $400,000 in legal fees, Schultz was constantly harassed and intimidated by both company employees and lawyers employed by Theranos. More critically, Schultz had to deal with internal family problems that saw him go seven months without speaking to his grandfather George Schultz. All this because he attempted to do what was right.

> One value-sensitive design approach that seems particularly suited for whistleblowing and whistleblower rights is the privacy by design framework. This approach guarantees absolute privacy, in terms of correlated information and identity, to every party involved in a whistleblower event. To see how this is different from traditional pro-whistleblower frameworks, let's apply it to the Tyler Schultz case. In a privacy by design complaint whistleblower system, Shultz's identity would never have been comprised. Not on the first instance when he approached Theranos's management directly, or when he used a false alias to submit a tip to New York City officials, or when he started cooperating with WSJ reporter John Carreyrou. If Shultz's identity had remained anonymous, he wouldn't have faced the workplace discrimination and backlash that followed his first whistleblowing attempt. Going forward, he wouldn't have shouldered unnecessary legal fees, and perhaps more importantly, in this context, his relationship with his granddad George Schultz would never have been tested.

Value sensitive whistleblower systems show their superior value proposition in that they address both the systematic and functional issues as well as the 'issues of the heart.' The latter, though less talked about, is critical to sustaining and promoting healthy corporate whistleblowing culture. If the goal is to encourage more people to speak up, then first, the world must guarantee their safety not just in terms of the civil and criminal context but also as it concerns their emotional, psychological, and personal wellbeing.

About I Blow The Whistle

Whistleblowing is the practice of reporting information about an organization to protect the safety and security of others. Typically driven by ethical issues, or even illegal practice, just a few legitimate whistleblowing incidents can cost companies millions. Unfortunately, because this problem is so large, there is often a fear of whistleblowing, whereby employees are concerned about backlash from the organizations they are reporting. They fear legal action, loss of a job, or sometimes even worse.

Employees have nowhere to turn for reporting these organizations. The typical process for blowing the whistle involves large corporate entities such as Deloitte. The endeavour quickly grows into a sizeable legal process which further dissuades the whistleblowing. It is an arduous process that takes time and courage. Beyond that, the traditional approach doesn't provide value to the employee and doesn't solve the backlash problem. This problem is leaving employees without a mechanism to safely and confidently blow the whistle.

Until now. **I Blow the Whistle** is a secure platform to blow the whistle anonymously. We enable employees to easily submit an anonymous report that is encrypted and anonymized to preserve identities. By alleviating the risk of backlash, we empower our clients to do the right thing. From the initial report, we then do the heavy lifting. We verify the claims and finally connect our clients to an authorized recipient for final actions.

Our entire platform is driven by Value Sensitive Design, ensuring a simple, transparent, and accessible platform. We believe in a culture of trust and surrounding yourself with people you know you can rely on. We at **I Blow the Whistle** see this not as a luxury, but as a right for employees to report the wrongdoings they have seen or experienced.

Contact us today to learn more.

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Kuala Lumpur, Malaysia

contactus@iblowthewhistle.com

www.iblowthewhistle.com

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